

CAPITAL NORVEX

Institutional Private Lending | Quebec & Ontario

LOAN AGREEMENT — REAL ESTATE REFINANCING Co-financing with first-rank real estate mortgage

Structured Capital. Controlled Ambition.

CONFIDENTIAL — Reserved for signing parties and their legal advisors

1. PARTIES

1.1 Lender

CAPITAL NORVEX INC., a legal person duly constituted under the laws of Quebec, having its head office at 2705-1000 André-Prévost Street, Île-des-Sœurs (Verdun), Montreal, Quebec H3E 0G2 ("Capital Norvex" or the "Lender").

For the purposes hereof, Capital Norvex Inc. is represented by a designated representative, duly authorized pursuant to a **corporate resolution** adopted by the sole shareholder and president, **Mrs. Suzanne Breton**, a certified true copy of which is attached to the file.

1.2 Borrower

_____ (the "Borrower").

1.3 Guarantors

_____ (the "Guarantors", jointly and severally with the Borrower).

2. PURPOSE OF THE LOAN — REFINANCING

The Loan's exclusive purpose is the **refinancing** of an existing mortgage on the Property identified in Schedule A, in favour of a former lender (the "Former Lender"), and where applicable, the disbursement of additional liquidity for a documented specific use.

2.1 Use of Funds

- Full repayment of the existing mortgage (Former Lender)
- File fees, notarial fees, taxes and registration fees
- Additional liquidity for documented specific use (capex, tenant improvements, etc.)

NO pure cash-out without a documented repayment plan is authorized. Any allocation of funds must be the subject of written justification acceptable to the Lender.

3. FINANCIAL CONDITIONS

Item	Condition
Loan Amount	_____ CAD
Term	12 months renewable
Fixed Interest Rate	_____ % per year (calculated and capitalized monthly)
Origination Fee	3% to 3.5% of amount — payable at signing
Analysis Fee (term extension)	1% of principal — if extension beyond Maturity (renegotiable)
Prepayment Penalty	Min. 3 months interest
Default Rate	_____ % per year

4. QUALIFICATION RATIOS (TARGETS — CASE-BY-CASE FLEXIBILITY)

As base criteria, the Loan aims for the following ratios:

- Target loan-to-value (LTV) ratio of **70%** of the AACI value
- Target debt service coverage ratio (DCR) of **1.20x**
- Target Borrower's cash equity of at least **30%**

FILE-BY-FILE FLEXIBILITY: These ratios constitute base criteria and may be adjusted on a case-by-case basis, up to a maximum LTV of **ninety-five percent (95%)**, if the Borrower provides additional collateral acceptable to the Lender (additional mortgage, second-rank mortgage on another property, solid personal suretyship, deposit in trust, etc.). The evaluation and acceptance of collateral are at the sole discretion of the Lender.

5. EXIT STRATEGY — MANDATORY

Refinancing is granted only with a clear and documented exit strategy. The Borrower represents and warrants that its exit strategy for the full repayment of the Loan at the Maturity Date is one of the following:

- Sale of the Property — confirmed promise to purchase or listing mandate
- Confirmed bank refinancing — commitment letter or preliminary confirmation
- Other documented strategy acceptable to the Lender

Failure to provide an acceptable and documented exit strategy constitutes an Event of Default. The Borrower undertakes to immediately inform the Lender of any development affecting the exit strategy and to propose a replacement strategy acceptable to the Lender.

6. CONDITIONS PRECEDENT TO DISBURSEMENT

- Confirmation of first-rank mortgage status after discharge of the Former Lender's mortgage
- Discharge / payoff letter from Former Lender stating the exact balance due
- Accredited AACI appraisal of the Property, dated less than 6 months
- Documented exit strategy acceptable to the Lender
- Phase I environmental study (if applicable) acceptable to the Lender
- Insurance policies with Capital Norvex designated as beneficiary / additional insured
- Corporate resolution of Capital Norvex Inc. designating the signing representative
- Execution of the mortgage deed and any ancillary document required by the Lender

7. SECURITY

- First-rank real estate mortgage on the Property (after Former Lender discharge)
- Total and immediate assignment of rents (art. 2695 C.C.Q.)
- Joint, irrevocable and unlimited personal suretyship of the Guarantors
- Discharge and registered mortgage discharge from the Former Lender (MANDATORY)
- Any additional collateral acceptable to the Lender where applicable (for LTV > 70%)

8. ASSIGNMENT OF CONTRACTS, PLANS, PERMITS — WHERE APPLICABLE

For any file involving a construction or major renovation component, the Borrower assigns to the Lender all contracts with the general contractor and major subcontractors, plans, specifications and other technical documents, municipal permits,

bids, certificates and warranties, as well as all insurance policies relating to the Project. These assignments become enforceable by operation of law upon an Event of Default.

9. ZERO TOLERANCE — TAXES AND LEGAL HYPOTHECS

9.1 Legal Hypothecs of Construction

NO legal hypothec of construction (art. 2724 and 2726 C.C.Q.) is tolerated. The Borrower undertakes to settle or have any registered legal hypothec discharged **immediately**, and at the latest within **seven (7) days** of a written notice from the Lender. Failing this, an Event of Default shall be **automatically declared**.

9.2 Taxes, Charges and Current Obligations

The Borrower undertakes to pay punctually when due all property taxes, school taxes, municipal charges, insurance premiums, and any other current obligations affecting the Property. **NO** delay is tolerated. In the event of any delay, the Borrower undertakes to remedy the situation **immediately**, and at the latest within **seven (7) days** of a written notice from the Lender. Failing this, an Event of Default shall be **automatically declared**.

10. EVENTS OF DEFAULT

The following constitute Events of Default, without prior notice or formal demand other than as provided by law:

- Any payment default at maturity
- Failure to provide or maintain an acceptable and documented exit strategy
- Any material misrepresentation by the Borrower, particularly as to the use of funds
- Use of funds for purposes other than those declared (unauthorized cash-out)
- Material deterioration of the LTV or DCR ratios below the agreed thresholds
- Registration of any legal hypothec of construction not discharged within 7 days of notice from the Lender (zero tolerance — art. 9.1)
- Any delay in payment of taxes, charges, insurance or other current obligations not remedied within 7 days of notice from the Lender (zero tolerance — art. 9.2)
- Alienation or substantial modification of the Property without prior written authorization
- Insolvency, bankruptcy, or receivership of the Borrower
- Breach of the terms of the mortgage deed (indissociability clause — art. 13)

11. LENDER'S REMEDIES

Upon an Event of Default, the Lender may, at its sole discretion: (i) declare the Loan immediately due and payable; (ii) exercise all hypothecary remedies (art. 2748 et seq. C.C.Q.), including taking in payment, sale by judicial authority, and sale by the creditor; (iii) directly collect rents under the assignment; (iv) enforce the suretyships; (v) cumulate remedies.

12. REPAYMENT

12.1 Maturity

The full balance of principal, capitalized interest, and fees shall be repaid no later than the Maturity Date, namely _____.

12.2 Prepayment

The Borrower may repay the Loan in whole or in part without penalty, upon five (5) business days' prior written notice, subject to applicable exit fees (min. 3 months interest).

12.3 Renewal

The Lender may, at its sole discretion, agree to renew the Loan on the financial conditions then in effect, subject to a new appraisal of the Property, continued compliance with the ratios of Article 4, and payment of the analysis fees (Article 3) if applicable.

12.bis BORROWER PORTAL (PWA) — 24/7 TRANSPARENCY

Capital Norvex makes available to the Borrower a secure digital **Borrower Portal (PWA — Progressive Web Application)**, accessible **24 hours a day, 7 days a week**, from any device (smartphone, tablet, computer). The Borrower may consult in real time:

- The Loan balance, the principal repaid, and the capitalized interest;
- The payment schedule and the history of payments made;
- The status of the repayment to the Former Lender and the discharge of the prior mortgage;
- Official notices and communications transmitted by Capital Norvex;
- Documents relevant to the file (appraisal, insurance policies, releases).

The Borrower Portal (PWA) is a **transparency** tool made available to the Borrower. It does not replace the official written communications provided for in this Agreement and in no way alters the Borrower's obligations or the Lender's rights. **Where** the refinancing includes a construction or major renovation component within the meaning of Article 8, the related progressive disbursements are managed through the **Norvex Track™** module under Capital Norvex's standard conditions.

13. INDISSOCIABILITY — MORTGAGE DEED — FUNDAMENTAL CLAUSE

This Loan Agreement and the real estate mortgage deed entered into between the Parties form an INDISSOCIABLE and complementary contractual whole. The Parties expressly acknowledge and irrevocably agree that these two documents must be read, interpreted, and performed jointly, as if they constituted one and the same contract. Any breach of the terms of this Agreement automatically constitutes an Event of Default within the meaning of Article 10 and allows the exercise of all hypothecary remedies. In the event of any divergence or ambiguity between the two documents, **the interpretation most favourable to the Lender shall prevail.**

14. GENERAL PROVISIONS

Governing Law	Laws of the Province of Quebec (Canada)
Jurisdiction	District of Montreal, Quebec
Assignment	Prohibited without prior written consent of the Lender
Amendments	In writing, signed by the parties
PCMLTFA / FINTRAC	Identity and source-of-funds verifications carried out
Notices	In writing, certified email or registered mail
Entire Agreement	This Agreement and the mortgage deed constitute the entire agreement

15. SIGNATURES

IN WITNESS WHEREOF, the parties have signed this Agreement on the date indicated below, having read it.

For Capital Norvex Inc., this Agreement is signed by the designated representative below, duly authorized pursuant to a corporate resolution adopted by the sole shareholder and president, Mrs. Suzanne Breton, a certified true copy of which is attached to the file.

LENDER — CAPITAL NORVEX INC.

Designated Representative (full name): _____

Title / Capacity: _____

Pursuant to Corporate Resolution dated: _____

Signed by: Mrs. Suzanne Breton, sole shareholder and president

Date of signature: _____

Signature: _____

BORROWER

Corporate Name: _____

Authorized Representative: _____

Title: _____

Date: _____

Signature: _____

GUARANTOR(S)

Full Name: _____

Date: _____

Signature: _____